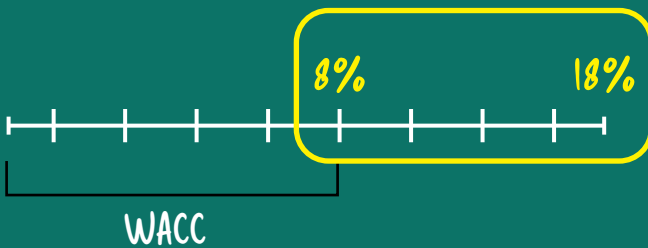


In this case, the company has a low to moderate amount of its total assets in long-term investments. This purely depends on the corporate strategy of the company. **A company might distribute the majority as dividends and not keep high long-term investments.**



However, if the company decides to keep these as assets, then a few questions need to be asked to understand long-term Investments.

Firstly, compute the return generated on long-term investments and compare it against WACC for long-term borrowings.



It is important that the company generates a greater return on long-term investments as compared to WACC (Weighted Average Cost of Capital). It is important to ensure that the company's long-term investment returns are higher than the cost of capital.

The finance cost in the income statement will give us an idea of the cost of company's liabilities.

If the company has a large liability and the return generated is lower than the cost of debt, it is better to repay the debt than keep the capital and debt.

